

Investment Class	Percent
Diversified U.S. stock fund	12%
Diversified foreign stock fund	5%
REIT mutual fund	3%
Intermediate-term bond fund	40%
Short-term bond fund	35%
Money market fund	5%

The risk avoidance pendulum can swing too far in the conservative direction as well. It is not prudent to eliminate all potential risk from a portfolio when you have enough, because you might need higher returns to beat inflation in the future. All investments face the corrosive effects of inflation and taxes. Retaining some risky assets in the portfolio has the advantage of earning an inflation adjustment after taxes. Also, most people do not spend all their money while they are alive, and at least some assets will go to younger heirs. An appropriate asset allocation may go beyond your lifetime to include children or other heirs.

[Table 13-3](#) is an example of a low-risk portfolio. There is a position in short-term bonds and intermediate-term bonds. Unless you are cashing in a portfolio within a few years, at least half of the fixed-income portion should be in intermediate-term bonds to capture a higher return. The portfolio should still have at least a 20 percent allocation to growth investment, such as common stock and real estate. A 20 percent allocation to growth assets and 80 percent to fixed income is more efficient than 100 percent in a fixed-income portfolio.

Risk avoidance should be based on your known assets and an assessment of your future liabilities. Reducing risk when the time is appropriate ensures that the markets will not take away the financial security you have worked so hard to achieve.